Hepsor

Issuer review · 6M2026

Analysis date: 2026-10-22
Rating: nerasta (no credit rating found)
Next report: Q3 2026 interim report - expected late October / November 2026

Watch. Hepsor posted a EUR 2.2m loss in 1H because few homes were handed over (23 vs 102)[1]. The equity ratio fell to 23.1%, while the bond covenant requires at least 20%[2,3]. Sales contracts are rising (129 homes, +36%, calculated by the tool), and revenue should follow as projects complete[4].

Revenue (6M2026)	Net profit (6M2026)	Equity ratio (6M2026)	Net debt (6M2026)
6.2 EUR m	**-2.21 EUR m**	**23.1%**	**56.2 EUR m**
▼ 71.9 % vs 6M2025	▼ 889.3 % vs 6M2025	▼ 3.7 p. p. vs 6M2025	▲ 38.4 % vs 6M2025

Quick summary

- **Loss due to the cycle:** 1H revenue EUR 6.2m (22.1m), EBITDA EUR -0.9m, net loss EUR 2.2m (profit 0.3m); revenue is recognised only on handover[5].
- **Sales rising:** 129 first-time home sales contracts for EUR 25.7m (95 and 18.5m a year earlier); 513 homes under construction[4,6].
- **Debt rising:** interest-bearing loans EUR 58.7m (47.7m at end-2025); net debt about EUR 56.2m (calculated by the tool); cash EUR 2.5m[7].
- **New bonds:** EUR 5m of 9.5% bonds (2029) issued in September 2026, 2.4x oversubscribed[3].

Instruments held and ISINs

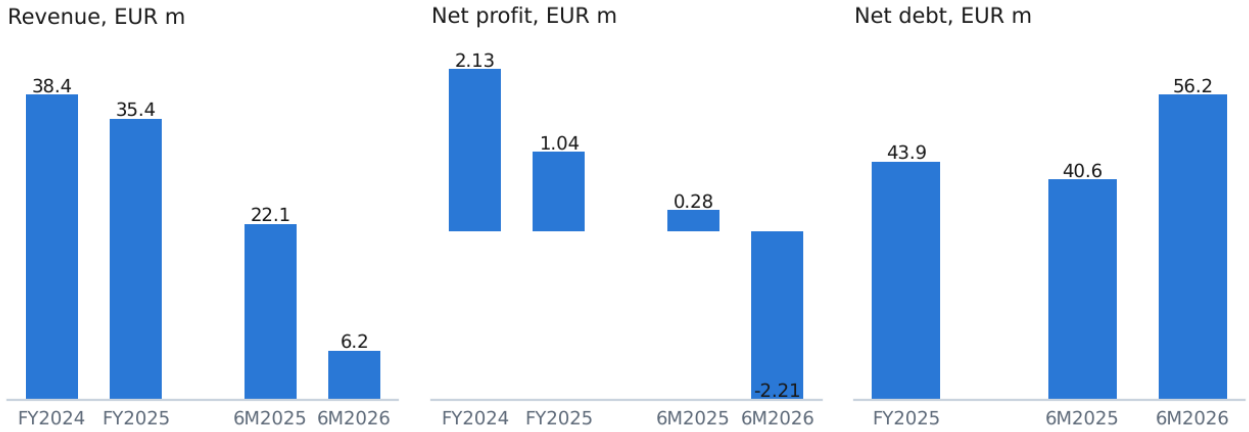
ISIN	Instrument	Coupon	Maturity	Note
EE3100082306	Hepsor AS ordinary share (HPR1T)	–	share	Added from the ISIN list 2026-10-22; terms from the Nasdaq Baltic list

Key ratios

Metric	FY2024	FY2025	6M2025	6M2026	Change
Revenue, EUR m[8,2]	38.4*	35.4*	22.1*	6.2*	**▼ 71.9 % vs 6M2025**
EBITDA, EUR m[8,2]	4.54*	3.46*	1.46*	-0.92*	**▼ 163.0 % vs 6M2025**
Net profit, EUR m[8,2]	2.13*	1.04*	0.28*	-2.21*	**▼ 2.49 EURm vs 6M2025**
Total assets, EUR m[8,2]	88.8*	91.8*	76.7*	103.7*	▲ 35.2 % vs 6M2025
Equity, EUR m[2]	–	27.1*	20.6*	23.9*	**▲ 16.0 % vs 6M2025**
Equity ratio[8,2]	24.8%*	29.5%*	26.8%*	**23.1%***	**▼ 3.7 p. p. vs 6M2025**
Net debt, EUR m[9]	–	43.9ᶜ	40.6ᶜ	56.2ᶜ	**▲ 38.4 % vs 6M2025**

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- **Residential and commercial developer in Estonia and Latvia:** 29 projects, about 195,000 sq m of sellable area, sales potential EUR 542m[10].
- **Next completions:** Manufaktuuri 12 in Tallinn (49 homes, handovers from Q3, 27 sold), Dzelzavas 74C in Riga (103 homes, Q4, 42 sold)[11].

Financials

- FY2025 revenue EUR 35.4m (38.4m), profit EUR 1.0m (2.1m), equity ratio 29.5% (24.8%)[8].
- Adjusted equity ratio (with subordinated shareholder loans) 37.9%; EUR 1.06m of dividends paid in 1H[12].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Start handing over Manufaktuuri 12 homes from Q3 2026	Awaiting the Q3 report[11]	Per plan[11].	**In progress**
Launch another 119 homes by year-end	New plan[6]	New[6].	**In progress**

Investor information & conclusions

- **Instrument held:** Hepsor AS share (HPR1T, Nasdaq Tallinn); 3,912,522 shares[13]. Market price and dividend policy not found.
- **Debt covenants:** the bonds (EUR 8m 2028 and EUR 5m 2029, both 9.5%) require an equity ratio ≥20% – currently 23.1%[14,3,2].
- **Conclusion:** elevated risk for shareholders – a loss-making half and a thin capital buffer; results should improve as homes are handed over.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

- Real estate development
- No activity in excluded sectors[15].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

- No UN Global Compact or OECD related controversies found.

☑ Yes, the company is not in the list of sanctions (add a screenshot)
- Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-22).

☑ Yes, issues were not identified from adverse media checks (add a screenshot)
- No adverse news found (2026-10-22).

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)
- The company says it uses innovative engineering solutions that make its buildings more energy-efficient[15].

☐ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)
- No climate targets or sustainability report found.

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards
- No yellow flags found.

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable
- The Real Estate and Construction policy[16].

Met
- Energy-efficient new buildings in the EU[15].

Could be improved
- No sustainability report or transition plan found.

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?
- No need: a small developer with no ESG risks found.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund
- New buildings are built energy-efficient[15].

Additional comments:

Conclusion: No exclusions or red flags. No sustainability report.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Real Estate and Construction sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

1. Hepsor - Consolidated unaudited interim report Q2 2026, p. 6, 20, 2026-07-28
2. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 2026-07-28
3. Hepsor - Bonds 2026 (Series II), 2026-09-07
4. Hepsor - Consolidated unaudited interim report Q2 2026, p. 6, 2026-07-28
5. Hepsor - Consolidated unaudited interim report Q2 2026, p. 4, 20, 2026-07-28
6. Hepsor - News: record construction volumes and 9.5% bonds, 2026-08-24
7. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 23, 2026-07-28

8. Hepsor - Key financials (investor web page), 2026-10-22
9. Hepsor - Consolidated unaudited interim report Q2 2026, p. 29, 2026-07-28
10. Hepsor - Consolidated unaudited interim report Q2 2026, p. 8, 13, 2026-07-28
11. Hepsor - Consolidated unaudited interim report Q2 2026, p. 7, 2026-07-28
12. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 22, 2026-07-28
13. Hepsor - Consolidated unaudited interim report Q2 2026, p. 26, 2026-07-28
14. Hepsor - 9.5% bond 2025-2028, 2026-10-22
15. Hepsor - Consolidated unaudited interim report Q2 2026, p. 4, 2026-07-28
16. SEB Real Estate and Construction sector policy (2026-04-23), p. 6-10, 2026-04-23

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